FINM3013 Introduction to Financial Derivatives

Chapter 06

Class exercises

Multiple Choice Questions

1. It is May 1. The quoted price of a bond with an Actual/Actual (in period) day count and 12% per annum coupon (paid semiannually) in the United States is 105. It has a face value of 100 and pays coupons on April 1 and October 1. What is the cash price?
   A. 106.00
   B. 106.02
   C. 105.98
   D. 106.04

2. The most recent settlement bond futures price is 103.5. Which of the following four bonds is cheapest to deliver?
   A. Quoted bond price = 110; conversion factor = 1.0400.
   B. Quoted bond price = 160; conversion factor = 1.5200.
   C. Quoted bond price = 131; conversion factor = 1.2500.
   D. Quoted bond price = 143; conversion factor = 1.3500.

3. A trader enters into a long position in one Eurodollar futures contract. How much does the trader gain when the futures price quote increases by 6 basis points?
   A. $6
   B. $150
   C. $60
   D. $600

4. A company invests $1,000 in a five-year zero-coupon bond and $4,000 in a ten-year zero-coupon bond. What is the duration of the portfolio?
   A. 6 years
   B. 7 years
   C. 8 years
   D. 9 years

5. Which of the following is true?
   A. The futures rates calculated from a Eurodollar futures quote are always less than the corresponding forward rate
   B. The futures rates calculated from a Eurodollar futures quote are always greater than the corresponding forward rate
   C. The futures rates calculated from a Eurodollar futures quote should equal the corresponding forward rate
   D. The futures rates calculated from a Eurodollar futures quote are sometimes greater than and sometimes less than the corresponding forward rate